Your Logo Here

Generated: 24 October 2026 at 12:36
Period: 17 August 2026 to 06 October 2026
Harlow & Finch Ltd

Management Letter

For the period 17 August 2026 to 06 October 2026

AI-Assisted Draft: This document was prepared using AI assistance and data sourced from Xero. All figures should be independently verified before distribution or filing. This letter does not constitute formal accounting advice.

Financial Summary

Item	Amount
Total Income	**£16,700.00**
Total Expenses	**(£62,925.08)**
Net Loss	**£46,225.08**
Transactions in Period	48

Top Expense Categories

Category	Total	% of Expenses
Tax & Statutory Payments	**(£15,300.00)**	24.3%
Wages & Salaries	**(£12,440.00)**	19.8%
Legal & Accountancy Fees	**(£10,700.00)**	17.0%
Insurance	**(£4,480.00)**	7.1%
General Expenses	**(£4,100.00)**	6.5%

Largest Transactions

Date	Description	Amount
2026-08-31	CLIENT PAYMENT JOHNSON CO	**£12,500.00**
2026-10-06	REF: PAYROLL OCT 2026	**£9,800.00**
2026-10-04	HMRC NIC EMPLOYER	**£7,200.00**
2026-09-21	KNIGHTS SOLICITORS LLP	**£6,500.00**
2026-09-02	HMRC VAT PAYMENT	**£5,600.00**

Executive Summary

Payments for the quarter run well ahead of income. A large share of them are the PAYE, employer NIC and VAT settlements for the previous period, and income rests on one client settlement and an Innovate UK grant, so trading activity is modest and broadly in line with a small professional practice between client billing cycles. The revolving credit drawdown and the loan instalment are held on the balance sheet under the loan account and sit outside these figures.

Income Analysis

Trading income rests on a single client settlement, which leaves the quarter exposed to the timing of one invoice. The grant receipt is non-recurring and should be ring-fenced against the project it funds. The facility drawdown is financing, recorded against the loan account, and is not counted as income.

Expense Analysis

Staff costs and the related HMRC settlements are the largest outflows, as expected for a people-led business. Legal and audit fees are concentrated in this quarter and should fall away next period. The remaining spend is a long tail of software subscriptions, insurance, premises and travel, none of which looks out of line, though two of the larger supplier payments were coded to general expenses and are worth a second look before sign-off.

Cash Flow Observations

Working capital was supported by the credit facility this quarter; without it the closing cash position would have been negative. Payroll and HMRC liabilities fall on fixed dates, so the practice should hold at least one month of those commitments in cash. The reconciliation shows a small number of statement lines without a matching record, which should be cleared before the quarter is filed.

Recommendations

Agree a billing schedule with the main client so that receipts arrive monthly rather than in one settlement.

Review the two general-expense payments and the contractor invoice flagged for review, and record the reasoning in the audit trail.

Present the grant separately from trading income in the management accounts, and set aside the VAT element of the quarter's sales as it is invoiced.